

GNIOT Institute of Management Studies – PGDM (Batch 2022-24)
(TRIMESTER –V) END-TERM EXAMINATION, JANUARY 2024
Merger and Acquisitions

[Time: 2 Hours 30 Minutes]

[Maximum Marks: 70]

Following are the course outcomes of the subject: - Merger and Acquisitions

CO	Course Outcome (CO)
CO1	Basic concepts and strategies of Merger and Acquisition.
CO2	It helps to make complex business decisions, develop effective strategies and enhance financial literacy.
CO3	To be equipped with analytical tools and framework to make decisions in complex and challenging business environments and will help in their career growth.

(Note- Faculty can add the more CO's as per their subject.)

SECTION-A

Attempt all parts of the following: (Short Answer Type Questions, do not exceed 200 words)

Q.1	Marks	CO
A	4	CO - 1
B	4	CO - 1
C	4	CO - 1
D	4	CO - 1
E	4	CO - 1

SECTION-B

Attempt any 3 questions out of the following: (Long Answer Type Questions)

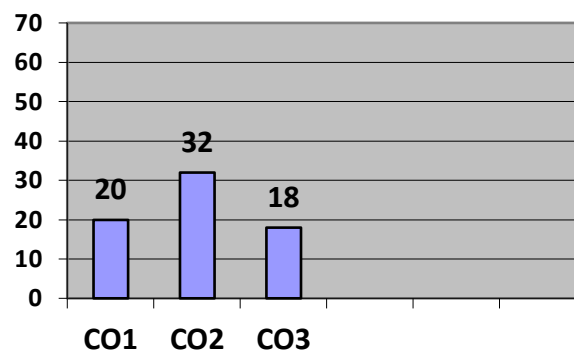
Q. No	Marks	CO
2 (A)	8	CO - 2
2 (A)	8	CO - 2
2 (B)	8	CO - 2
2 (B)	8	CO - 2
3 (A)	8	CO - 2
3 (A)	8	CO - 2
3 (B)	8	CO - 2
3 (B)	8	CO - 2

SECTION-C

Attempt all parts of the following: (Caselet / Numerical)

Question	Marks	CO
4 (A)	9	CO - 3
4 (B)	9	CO - 3

■ Course Outcome Wise Marks Distribution



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INSTRUCTIONS:

- (i) **There are THREE sections in this question paper.**
- (ii) **Attempt questions from each section as per the directions.**
- (iii) **Make suitable assumptions wherever necessary.**

SECTION-A

(Short Answer Type Questions, do not exceed 200 words)

Q.1. Attempt all parts of the following:

(5×4=20)

- (a) Briefly explain the term Corporate Valuation.
- (b) Distinguish between Amalgamation and Absorption.
- (c) Discuss the implications of corporate restructuring
- (d) Define ESOPs.
- (e) Why do companies go for mergers and Acquisitions?

SECTION-B

(Long Answer Type Questions)

Q.2. Attempt all questions of the following

(4×8=32)

- (a) State the Advantages and disadvantages of Buyback of Shares

OR

- (a) Write a Short note on three Popular Joint Venture in India

- (b) Explain the concept of takeovers. State and explain the different types of takeover strategies.

OR

- (b) Differentiate between friendly and hostile takeovers.

Q.3. (a) How do organizations effectively manage cultural integration during a merger or acquisition?"

OR

- (a) Discuss the various motives that drive companies to engage in mergers and acquisitions, and provide examples to illustrate each motive."

- (b) What regulatory challenges are associated with mergers and acquisitions?"

- (b) "What ethical considerations should be addressed in M&A deals?"

SECTION-C

Case Study: Merger of Vodafone India and Idea Cellular

This case study examines the merger between Vodafone India and Idea Cellular, two of the largest telecom operators in India. The merger was announced in 2017 and completed in 2018, creating Vodafone Idea Limited, one of India's biggest telecom service providers.

Background:

Vodafone India: A subsidiary of the UK-based Vodafone Group, it was the second-largest mobile telecommunications network in India in terms of subscriber base.

Idea Cellular: An Aditya Birla Group company was a significant player in the Indian telecom sector.

Motivation for the Merger:

Market Competition: Intense competition from new entrants like Reliance Jio, offering low-cost data and free voice calls.

Synergy Benefits: Combining resources to create a more robust network with a wider reach.

Financial Strength: Leveraging the combined financial power to invest in new technologies like 5G.

Merger Process:

Announcement: The merger was announced in March 2017.

Regulatory Approval: Received necessary approvals from regulatory authorities.

Completion: The merger was officially completed in August 2018.

Post-Merger Outcomes:

Market Position: Became India's largest telecom operator by subscribers.

Financial Challenges: The merged entity faced significant financial stress, with high debt levels.

Operational Integration: Integrating the operations of two large companies posed significant challenges.

Financial Aspect:

Debt: The merged entity inherited a substantial debt load, leading to financial strain.

Revenue: Initially, there was a decline in revenue due to competitive pricing pressure in the market.

Cost Savings: The merger was expected to result in significant cost synergies, although these took time to materialise.

The success of the Merger:

Short-Term View: Initially, the merger faced challenges due to high debt, integration issues, and intense market competition.

Long-Term View: In the long term, the merger aimed to create a stronger player in the Indian telecom market with more significant resources to invest in technology and infrastructure.

Discussion Questions:

Q.4. Attempt all parts of the following:

(2×9=18)

4(a) How did the competitive landscape in the Indian telecom sector influence the merger between Vodafone India and Idea Cellular?

4(b) What main financial challenges did the merged entity face, and what strategies could be employed to overcome them?